TAP INTO GLOBAL MARKETS

With India Exim Bank's Trade Assistance Programme

In the aftermath of the Covid-19 pandemic, the global trade finance gap widened, reaching a staggering US$ 2.5 trillion in 2022. The trade finance gap continues to weigh on the ability of businesses to explore new geographies and scale exports on account of rising global uncertainties.

It is in this context that the Export-Import Bank of India (Exim Bank), has conceptualised the Trade Assistance Programme (TAP). This first-of-its kind initiative in India is enabling Indian exporters to expand into new, high-risk markets.

Under TAP, Exim Bank provides credit enhancement to trade instrument(s), thereby enhancing the capacity of commercial banks/financial institutions to support cross-border trade transactions involving markets where trade lines are constrained or where the potential has not been harnessed. The various credit mechanisms are in the form of Stand-by letter of credit, risk participation and fronting of guarantees.

Further, India Exim Bank also confirms and negotiates Letters of Credit (LCs) issued by overseas banks (Issuing Bank), for export of goods/ services from India. Support is also extended for UPAS LC financing and confirmation/discounting of long tenor capex LCs.

The objectives of the programme are as under:

- Increase confidence of counterparties in settlement of trade transactions;
- Incremental exports to untapped and challenging markets;
- Provide market entry mechanism and support market diversification of exporters, including MSMEs;
- Risk coverage for challenging trade transactions; and
- Enable local banks in target countries to establish working partnerships with large number of commercial banks in India.

Under TAP, Exim Bank has identified 72 focus countries, mainly including untapped geographies and countries with higher risk perceptions across Asia, Africa, Latin America and Europe & CIS region. The Bank is currently partnering with over 100 banks (overseas and domestic), under the programme and is in active discussion with many more.

Further, under TAP, Exim Bank extends credit lines to overseas financial institutions who act as intermediaries and on-lend to overseas buyers for import of equipment, goods and services from India. Moreover, the Bank also extends refinance to banks, for supporting underlying export transactions.

Since inception, the Bank has facilitated over 1200 transactions across 52 countries under TAP, including relatively untapped geographies and countries with higher risk perceptions. By increasing confidence in trade settlements, TAP has led to more than USD 3 bn of incremental exports by more than 160 exporters across diverse sectors.



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